

Aged, Blind and Disabled Manual

Section: Financial Eligibility Requirements;

Policy Manual Number: 110.032

Chapter: **ABD In-Kind Support and Maintenance**

Legal Authority: 20 CFR 416.1120; 20 CFR 416.1121; 20 CFR 416.1130 – 1147; Tenn. Comp. R. & Regs. 1200-13-20-.06(3)(b)

1. Policy Statement

In-kind Support and Maintenance (ISM) is food or shelter that a person is given or receives because someone else pays for it. ISM can be received from a source outside of the household or from other household members. ISM is countable unearned income for the SSI-related categories: Pickle Passalong, Disabled Adult Child (DAC), and Widow/Widower.

2. Definitions

- a. **Current Market Value (CMV):** The amount for which an item would sell on the local open market.
- b. **Household:** A personal place of residence in which individuals share common living quarters and function as a single economic unit.
- c. **Household Operating Expenses:** The average monthly amount in cash a household spends for shelter.
- d. **Pro Rata Share:** An individual's share of the household operating expenses determined by dividing the household operating expenses by the number of persons residing in the household, regardless of age.
- e. **Shelter:** Living quarters for an individual. Shelter items are mortgage payments, property insurance (if required by a mortgage holder), rent, gas, electricity, heating fuel, water, sewer, garbage collection service, and real property taxes.
- f. **Third-party Vendor Payment:** A payment made directly to a vendor by a third party for goods or services provided to an individual or couple.

3. Determining the Value of ISM

There are two rules used to determine the value of ISM: The Value of the One-Third Reduction (VTR) rule and the Presumed Maximum Value (PMV) rule.

a. VTR Rule

The VTR rule is used to determine the value of ISM when an individual or an eligible couple:

- i.** Lives for a full calendar month in another person's household; and
- ii.** Receives food and shelter from the person whose household the individual or couple is living in.

The VTR is equal to one-third of the SSI Federal Benefit Rate (SSI-FBR) for an individual or a couple. Effective 01/01/2026, the VTR for an individual is \$331.33 and for a couple \$497. The VTR is counted in full or does not count at all. When the VTR applies in a given month, no other ISM is countable.

An individual is not subject to the VTR if his average monthly contribution toward household operating expenses equals or exceeds the pro rata share or is within \$5 of the pro rata share. The pro rata share is determined by dividing the average monthly amount in cash the household pays for shelter by the number of individuals living in the household.

Example: Steven lives with his brother, Bill, Bill's wife, and son in Bill's apartment. There are 4 people in the household. The rent is \$1150 a month. The household pays \$450 a month for electricity, water, and sewer. The total monthly household expenses are \$1600. Steven's share of the household expenses is \$400. Steven pays \$400 a month toward household expenses. Because Steven pays a pro rata share, the VTR does not apply.

b. PMV Rule

The PMV is the maximum amount of ISM that can be counted in a given month. The PMV rule is used to determine the value of ISM when the VTR rule does not apply.

The PMV is equal to one-third of the SSI-FBR, for an individual or couple, plus \$20. Effective 01/01/2026, the PMV for an individual is \$351.33 and for a couple \$517. Under the PMV rule, an individual can rebut the amount of ISM counted as income. An individual can rebut the PMV by showing:

- i.** That the current market value of ISM received, minus any payment that an individual makes for the ISM, is lower than the PMV; or
- ii.** The actual amount of ISM received is lower than the PMV.

If the actual value of the ISM received is lower than the PMV, the Actual Value (AV) is used.

Example 1: Mr. and Mrs. Johnson live with their daughter, Barbara and her family in Barbara's home. There are 7 household members. Mr. and Mrs. Johnson have a special diet that requires them to purchase their own food. The household pays \$1400 a month for shelter expenses. Mr.

and Mrs. Johnson's pro rata share is \$400 a month ($\$1400/7 = \$200 \times 2 = \400). The Johnsons pay their daughter \$300 a month toward shelter expenses. Because the couple's contribution is less than the couple's pro rata share, they are receiving ISM. The actual value of the ISM that the couple receives is \$100. Since the actual value is less than the PMV, the AV is used.

Example 2: Harriet lives alone rent-free in a house owned by her uncle, Stanley. The house would rent for \$1200 a month if it was rented on the open market. The rent-free house is ISM. The actual value of the rent-free shelter that she receives is \$1200 a month. Since the actual value is more than the PMV, the PMV is used.

4. Living Arrangement

The living arrangement of an individual determines whether ISM is valued under the PMV or the VTR rule. The living arrangement of an individual is where the individual lives. It also includes the type of household the individual lives in and who pays for the individual's food and shelter.

a. Living in the Household of Another

An individual lives in another person's household if:

- i. The individual does not live in his own household; and
- ii. The person who supplies the individual's food and shelter lives in the same household and is not the individual's spouse, a minor child, or someone whose income may be deemed to him.

b. Living in Own Household

An individual lives in her own household if:

- i. She (or someone whose income may be deemed to her) has an ownership interest or a life estate interest in the home;
- ii. She (or someone whose income may be deemed to her) is liable to the landlord for payment of any part of the rental charges;
- iii. She lives in a noninstitutional care situation (e.g., foster or family care);
- iv. She pays at least a pro rata share of the household operating expenses; or
- v. She lives in a household in which all household members, including the individual, receive public-income maintenance payments. See public-income maintenance payments defined in the ABD Deeming of Income and Resources policy.

Note: An individual who lives in a household in which all members receive public-income maintenance payments does not receive ISM from other members inside the household.

Individuals who are homeless, transient (i.e., without a fixed place of residence) or living in an institution do not live in a household.

5. When ISM is Counted

ISM counts as income in the month that the individual has use of the shelter item, except when the ISM is from a third-party vendor payment. When a shelter item is obtained through a vendor extending credit to an individual and a third party later makes a payment directly to the vendor for the item as a gift, the third-party vendor payment is income in the month the payment is made.

6. Exceptions to Charging ISM

Shelter does not count as ISM if the shelter is not considered to be income or is excluded from income under federal statute. This includes shelter that:

- a.** Has no CMV;
- b.** Is provided under the terms of a bona fide loan agreement;
- c.** Can be excluded as infrequent or irregular income;
- d.** Is provided by someone in the household whose income may be deemed to the individual;
- e.** Is specifically excluded by Federal law;
- f.** Is provided under a governmental medical or social service program;
- g.** Is assistance based on need from a state or political subdivision;
- h.** Is received during a temporary absence;
- i.** Is received during medical confinement in an institution;
- j.** Replaces lost, damaged or stolen resources; or
- k.** Is received because of payments made under the terms of credit life or credit disability insurance.

7. ISM from an Employer

Shelter provided by an employer to the following people, or under the following conditions, is considered ISM, including payments:

- a.** To certain agricultural employees;
- b.** To domestic employees;
- c.** For service not in the course of the employer's trade or business;
- d.** For service by certain home workers;
- e.** For members of the Uniformed Services; and
- f.** Provided on the employer's business premises, for the employer's convenience, and in the case of shelter received, its acceptance by the employee is a condition of employment.

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8. Verification

TennCare accepts self-attestation of ISM, and applies the VTR rule or the PMV rule, depending on a person's living arrangement. If an individual alleges that his contribution towards household expenses is within \$20 of the pro rata share or alleges that the actual value of ISM is less than the PMV, and he wishes to rebut the PMV, written documentation is required. Written documentation may include any of the following: a written statement from another adult household member other than the person's spouse, a written statement from the person paying for or providing the shelter, a copy of a bill, receipt or canceled check showing the actual value of the shelter item. If written documentation is not provided, ISM is counted based on the VTR or PMV rule.

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Version History

Revision Date	Section	Section Title	Page Number(s)	Reason for Revision	Reviser
04.01.2024				Publication	
01.02.2025	3.	Determining the Value of ISM	2	Non-Substantive Change	CE
06.02.2025	2.c.; 3.a; 5.; 6.; 7.; 8.	Definitions; VTR Rule; When ISM is Counted; Exceptions to Charging ISM; ISM from an Employer; Verification	1-2; 4-5	Policy Change	BP
01.05.2026	3.a.; 3.b.	Determining the Value of ISM	2	Non-Substantive Change	KJ